

Murphy USA Inc. NYSE:MUSA

FQ2 2026 Earnings Call Transcripts

Thursday, August 6, 2026 3:00 PM GMT

S&P Global Market Intelligence Estimates

	-FQ2 2026-			-FQ3 2026-	-FY 2026-	-FY 2027-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	10.02	11.24	▲ 12.18	8.53	33.51	NA
Revenue (mm)	6031.48	6806.10	▲ 12.84	5722.37	23385.30	NA

Currency: USD
Consensus as of Aug-06-2026 2:36 AM GMT

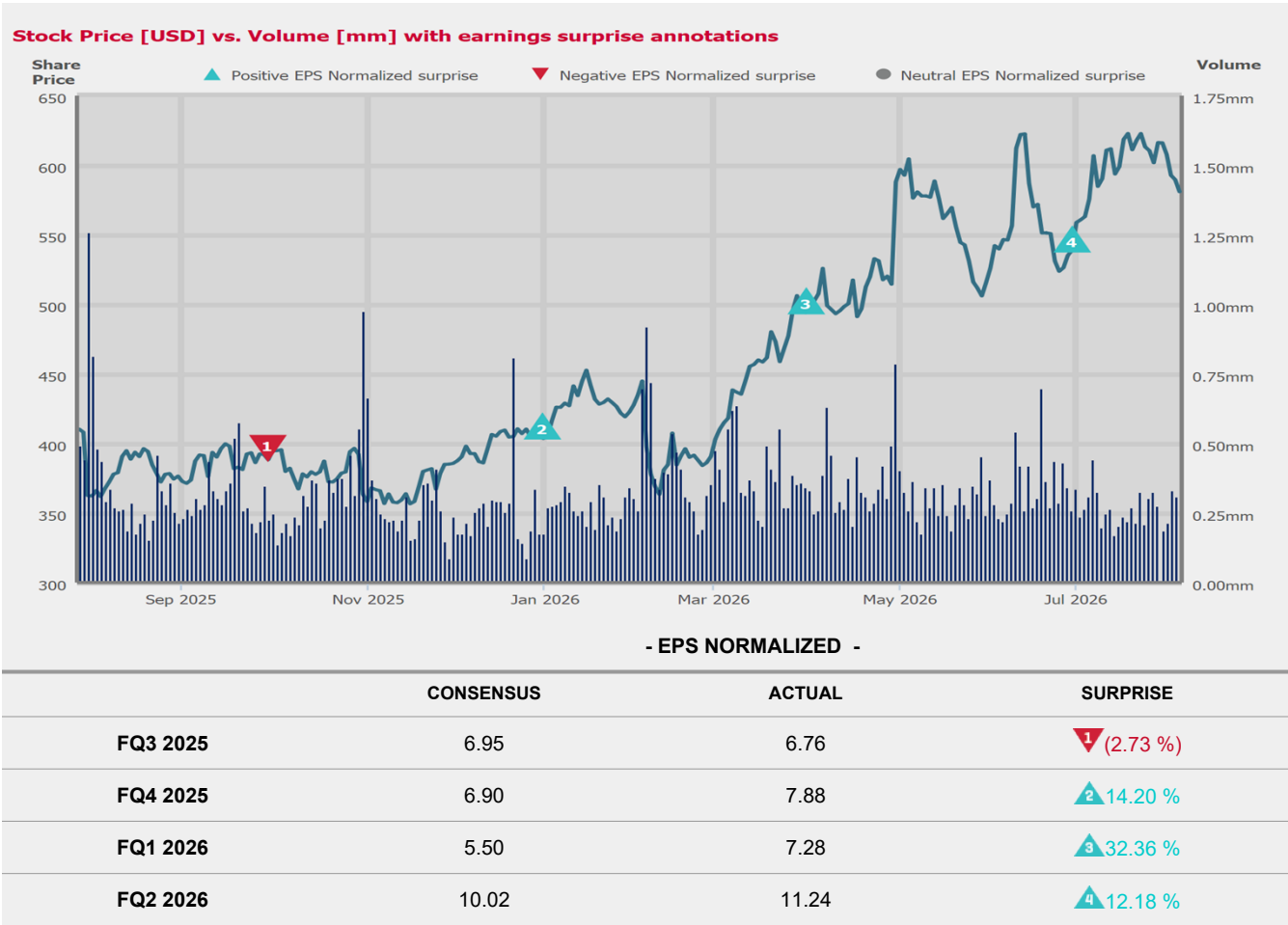


Table of Contents

Call Participants		3
Presentation		4
Question and Answer		5

Call Participants

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Malynda K. West

President, CEO & Director

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Daniel Edward Guglielmo

Capital One Securities, Inc., Research Division

Irene Ora Nattel

RBC Capital Markets, Research Division

Jacob Aiken-Phillips

Melius Research LLC

John Christopher Parke

Wells Fargo Securities, LLC

Pooran Sharma

Stephens Inc., Research Division

Robert Kenneth Griffin

Raymond James & Associates, Inc., Research Division

Presentation

Operator

Thank you for standing by. My name is Freda, and I will be your conference operator today. At this time, I would like to welcome everyone to the Murphy USA Second Quarter 2026 Earnings Q&A Call. [Operator Instructions] I would now like to turn the call over to Christian Pikul. Please go ahead.

Christian Pikul

Vice President of Investor Relations & FP&A

Thank you, Freda. Welcome, everybody. Thanks for joining us this morning for this Q&A session. With me are Mindy West, President and Chief Executive Officer; and Donnie Smith, Chief Financial Officer. As Freda said, we're happy to welcome more analysts to the research community covering Murphy USA. We're going to ask that you limit your initial questions to one and then get back in the queue afterwards.

Please keep in mind that some of the comments discussed in today's Q&A session may be considered forward-looking statements as defined in the Private Securities Litigation Reform Act of 1995. Please refer to the forward-looking statements section of either the earnings release or the management commentary document for further details.

And with that, I'm happy to open up the call.

Question and Answer

Operator

[Operator Instructions] Our first question from Irene Nattel, RBC Capital Markets.

Irene Ora Nattel

RBC Capital Markets, Research Division

I was just wanting some more color on the updated 2026 outlook, notably around 2 elements. The first being the fuel margin guidance and the second being sort of the, relatively speaking, the slightly sort of the low-end guidance on merch. And so I was wondering, looking for more color on content and drivers of both of those, please.

Malynda K. West

President, CEO & Director

Irene, welcome to the call. Thank you for your question. When thinking about retail margins for the rest of the year, it's very difficult to predict where we're going to land because we're in the middle of a lot of heightened volatility with a crisis that continues to ebb and flow and don't know where that will end. While we can't predict the macro environment, we are seeing a higher floor for retail margins. So competitors are remaining rational. Pricing is reflective of those needs of the marginal retailer to maintain their required returns, still reflecting that virtuous cycle that we've seen.

What we haven't seen so far is a pronounced decline in price, which would gather incremental volumes for us as well as expand the retail margin. So at this point, we are not baking that into the forecast at all. So you could call our margin forecast somewhat conservative. I would agree with that. But I would also say that, that's intentional on our part because we don't know what it's going to be, and we manage our business to try to outperform our commitments. So what we are saying is reflective of what we have high confidence that we can deliver at this point.

With regard to the merch, obviously, our consumer is experiencing some budget pressures, which are putting some pressures on the nondiscretionary pieces of our merch business, although we have been very pleased with how resilient the customer has been year-to-date. But I will tell you that target when we originally set it at the beginning of the year was a bit of a stretched target anyway. It was going to be very hard to get to the high-end range of that target. And in the face of all the weather impacts that we had in the first quarter, while we had the winter storms and at one point, had half our network closed, that results in just a loss of demand there for those time periods, along with what we think are still going to be some pressures on our customers' wallets as we go through the rest of the year. That gives us confidence that, yes, we will be in the range, but towards the low end of the range.

Irene Ora Nattel

RBC Capital Markets, Research Division

That's really helpful. Can I ask a follow-up question?

Christian Pikul

Vice President of Investor Relations & FP&A

We're just going to move on, Irene.

Operator

Your next question from the line of Pooran Sharma with Stephens Inc.

Pooran Sharma

Stephens Inc., Research Division

Congrats on posting the strong results. I wanted to get your sense on supply normalization. If current peace talks ultimately result in a durable resolution, how quickly do you think physical supplies could take to normalize given depleted inventories, the need to rebuild strategic reserves, disrupted shipping flows, potentially shuttered upstream and downstream assets. How long should investors expect supply tightness and volatility to persist even after the geopolitical situation improves?

Malynda K. West

President, CEO & Director

Very good question, Pooran. I wish that I had the answer to that because all the things that you mentioned are great uncertainties in the market and very unlike what we saw in 2022, where COVID did produce a demand shock and then the Russia-Ukraine created a lot of volatility, but really had no impact on domestic supply at all.

When you look at the current conflict, it obviously as a supply shock is having a material impact on domestic inventories and flows essentially globally. So our belief is the return to normal is not likely at all in the near term and then yet to be seen is how much damage to infrastructure is there overseas, how long does that take to recover.

And then you mentioned if this conflict resolves, I don't know that we have any line of sight to think that it's going to resolve quickly. But -- and so that in and of itself may take a prolonged period. So I think we're looking at well into next year before this thing even begins to unwind.

Operator

Your next question from the line of Bonnie Herzog with Goldman Sachs.

Bonnie Lee Herzog

Goldman Sachs Group, Inc., Research Division

I had a question on NTIs. You mentioned in the press release that you expect your NTI delivery to come in closer to the 45 new stores as opposed to, I guess, the upper end of guidance. So I was hoping to hear what changed. Is construction taking longer this year and/or did your original guidance maybe imply some M&A that now isn't happening?

And then you also mentioned that you're pulling forward construction of new stores scheduled to open in '27. So should we assume a faster ramp of NTIs next year? And Ultimately, I guess, Mindy, how does this change the pace of growth and profitability since I think you said in the past, it takes a few years to reach run rate profitability on new stores.

Malynda K. West

President, CEO & Director

Thanks, Bonnie. And yes, this year, we are going to be at the lower end of our stated range, but that is without the tuck-in acquisitions that we said would take us to the high end of the range. Those may come up, we don't know. But we are only commenting now as to what we have in the pipeline and the organic pipeline currently as we continue to invest heavily in our team and in our new store pipeline. So we think we are well positioned to grow at this rate and above per year going forward.

Pulling some stores forward earlier in the year, that will certainly be helpful to get them to ramp starting sooner, but it does take, as a reminder, about 3 years for a store to get to full ramp. So it's not an indication that our activity is taking longer or we're doing less. It's just indicative of what we felt we could deliver from an organic standpoint and absent any tuck-in acquisitions, and the ramp, we think, is going to go as expected.

And as for M&A, large-scale M&A, that's certainly not something that's on the radar for us and does not need to be given the health of our organic pipeline.

Operator

Your next question from the line of Ed Kelly with Wells Fargo.

John Christopher Parke

Wells Fargo Securities, LLC

This is John Parke on for Ed. I guess can you talk about some of the puts and takes for nicotine margin dynamics in Q2 and just kind of the outlook for Q3, just given the Zyn lap here?

Malynda K. West

President, CEO & Director

Yes. The Zyn lap is going to be a big one. We do believe that nicotine is going to continue to be a tailwind for us in the second half. And excitingly, we're actually seeing strength in combustibles, especially with the new value priced Cowboy Cut cigarette that did really well. It was well received by our customers. We actually had a hard time keeping that product on the shelf. And as we look forward, we think that, that's going to continue to be a source of strength. We also see some emerging other tobacco product opportunities in the second half, some new gen pouches are going to come online. We expect some flavored vape products back in the market.

But again, as you reminded us, we do have a tough third quarter comp as we lap that Zyn promotion. Our margins this quarter were reflective of growth in the pouch category of other tobacco products, but continued resurgence in that cigarette category, which, again, as a reminder, carries a lower margin than those other tobacco products. So Q3 is going to be a tough comp, but we think overall, the category is going to continue to be promotion heavy, and we'll be a major participant in that.

Operator

Your next question is from Thomas Palmer with JPMorgan.

Thomas Hinsdale Palmer

JPMorgan Chase & Co, Research Division

I wanted to ask on what you're seeing with rewards. Last quarter, you discussed elevated sign-ups in the program when fuel prices moved higher. How is the conversion of those sign-ups been in terms of driving more consistent customer visits by those new members and then also converting those customers from the pump into the inside of the store.

Malynda K. West

President, CEO & Director

Yes. That is a great question. As we said last quarter, our sign-ups had elevated to 600,000 a month, up from around 400,000 a month. Happy to report that during the second quarter, sign-ups were even over that 600,000 mark every month during the quarter.

Also, what we said was in the first quarter, what we were seeing was 40% of those new signees were either new or lapsed customers. That number has also ticked up in the second quarter to approaching 46% as new or lapsed customers. So we love the MDR platform. It's making it easier for us to communicate with our customers to encourage full membership, which we know translates into durable and loyal behavior. So we're taking those new members on an automated journey with a series of offers to increase their engagement, building mechanisms that are very personal to the customers as they onboard, engage and we retain them.

You mentioned driving business inside the store. Just to give you a specific example, one of the ways that we are encouraging pump-to-store conversion is we were offering spend \$5 inside the store save \$0.05 on gas as part of that new customer journey. What we're seeing is that has been very successful. We're also encouraged that those new members are engaging more with the program more often, and we know that they're going to be able to exhibit those loyal behaviors even sooner.

So we're thrilled with what we're seeing with the higher sign-ups. That's obviously expanding the top of the loyalty funnel, and we are enhancing our ability to create positive customer relationships that we know is going to help drive future growth. And we are continuing to refine the platform, by the way, continuing to upgrade it and make it better for our customer. So thanks for the question.

Operator

Your next question is from the line of Bobby Griffin with Raymond James.

Robert Kenneth Griffin

Raymond James & Associates, Inc., Research Division

Mindy, I appreciate all the detail on the volumes given in your script. And I think it's interesting, you're getting more and more states flipping to positive volume with really 2 kind of as the drag, big ones, Colorado and Florida. So when you look at the numbers you gave us in that prepared remarks, like where do you think you are on that competitive curve? I know that's almost impossible probably to answer, but is that drag getting better or worse sequentially from those 2 states? And is there any gleanings from other states that kind of tell you you're getting towards the bottom of that competitive drag and we might be starting to lap it?

Malynda K. West

President, CEO & Director

I would hate to call the bottom because I might be surprised with new competitive intensity in other areas. I'd like that you mentioned Colorado because that does represent at least some hope while volumes are down. Our total volume is down much less than that as we are continuing to open new stores and grab share as well. And margins, just like last quarter, showed improvement, actually up over 20%, just like they were in the first quarter. So competitive entry even there does remain high, but we're seeing improvement to margins as volumes are redistributing across the new stores.

Seeing some of that in Florida, too, where volume continues to be down, but margins are actually healthier. So that may indicate kind of a turn in things. And in Texas, as we referenced, which is a large market for us, our volumes are up as that represents a more mature

steady market where we've had a lot of competitive entry, but that entry has normalized and everybody now has their share and knows their place and how to play the game.

So not ready to call the thing and say it's over because I think we're still going to have competitive pressures, whether it be in Colorado, Florida or some new location. But the recipe continues to endure over time where it's painful in the beginning when those competitors come in, same as it is when we come in because everybody is competing for that share, and we're going to fight to retain our share of that, too, which results in lower margins for us as those volumes get redistributed. But over the course of time, as the competitive entry happens and volume gets reallocated, things get to a new normal with margins actually stabilizing at a higher level than they were before the competitive entry. But -- so hopefully, you're right, but I do appreciate your question, but we are seeing some green shoots at least to be able to talk about.

Operator

Your next question from the line of Jacob Aiken-Phillips with Melius Research.

Jacob Aiken-Phillips
Melius Research LLC

Congrats on the strong results. Bonnie kind of touched on the NTI cadence, but I wanted to reconcile it with the capital spending. So like NTI is down 45 and R&R is at approximately 10, but you moved CapEx up. So I mean, can you quantify like what that additional CapEx is going to like land, construction pull forward, et cetera? And how much of it is timing versus others? And then just as a corollary, how should we think about share buybacks in that context?

Malynda K. West
President, CEO & Director

Okay. So great dual questions. Yes, CapEx is trending to the high end of the range as we want to make sure that we deliver on our NTI program, and we will pull forward stores if we need to. So that's part of the estimate in case we're able to do that. We're also making some very proactive life cycle investments in our existing stores, so proactively replacing dispensers, HVAC units, safe, things like that. Rather than fixing a dispenser 4 times, we're going ahead at a dispenser that we know is nearing the end of life and going ahead and replacing those. So we are deliberately refunneling some of our CapEx to those activities.

And we're also intent on ensuring that we have future growth by investing in our land bank. So that is a clear priority for us going forward, too, which again is taking us towards the high end of the range even absent the raze-and-rebuild activities.

When we think about capital allocation and in particular, share repurchase, we are definitely going to lean into share repurchase as our capital allocation strategy has not changed. We're going to deliver capital for growth, and we have a slate of opportunities to do that, but share repurchase does remain one of our main levers, and we will continue to emphasize that as well. And the good news is the business throws off enough cash flow for us to be balanced at that over the sweep of time, and we can easily afford to continue to grow and accelerate growth with new-to-industry sites while at the same time, maintaining disciplined share repurchases.

Operator

Your next question from the line of Brad Thomas with KeyBanc Capital Markets.

Bradley Bingham Thomas
KeyBanc Capital Markets Inc., Research Division

Congrats on the quarter here. I had a couple of things I want to ask about the same-store fuel volumes, Mindy. So I hate to make this a multiparter, but I'm wondering if you could give us a little color on, for one, sort of how that trended through the quarter and has been tracking as we've gotten into August. How do you think about retaining these incremental customers that you're bringing in, if you are seeing incremental customers as a part of that higher volume? And then maybe what efforts might be new to retain those customers that perhaps didn't exist in the past when you sometimes saw a benefit from these spikes in gas that led to incremental customers for you?

Malynda K. West
President, CEO & Director

Okay. That's a very clever way of turning one question into three. So I hope I remember all that you wanted me to cover here. But I think your first question was to talk about same-store volumes.

Look, we view what we did in the second quarter, volume performance of a positive 0.5%, as very encouraging, especially given the pricing environment because while RBOB prices finished the quarter down 2%, the quarter itself was characterized by a lot of extreme offsetting movements. So we saw a run up in April, down in May versus a flat June. And we know that absolute price level matters. We saw stores above \$4, though, only 18% of the time during the quarter, which we called out on our script.

But also price direction matters just as much as the absolute price level, if not more, because as you know, in a rising environment, competitors move higher in response, that compresses spreads across the market, limits our ability to create that important separation. We saw that in April volume for same store, whereas we were essentially flattish to slightly down with that upward increase in prices. Then you know when prices fall, competitors are going to react at different speeds. That gives us the opportunity to create separation and drive incremental volume. That's exactly what we saw in May. RBOB declined 16%. Our same-store volume increased 1.6%, which was even more pronounced during the last half of May, RBOB fell actually 18%. Same-store volume ticked up over 2% versus prior year.

When we look at July, again, July itself started a bit soft with 4th of July holiday impacted by rain throughout a lot of our network. But the run-up in price that you saw during the month impacted our ability to differentiate based on price analogous to 2 out of the 3 months that we saw in the second quarter. But as we look into August, which granted we only have 5 days of results, volume is actually up 1.5% as the market has dropped some. So key point here is, I think volume is performing exactly as we would expect. And we opened today, by the way, also in the high 30s, so the margin isn't bad either. So I think May demonstrated and so far August has as well our ability to capture volume when falling wholesale allows us to differentiate on price and meaningfully drive it.

And then when we think about our capabilities versus prior year, I go back again to the MDR that we just talked about. We just have an increased ability to be able to communicate with our customer, know our customer, understand the frequency of the trips, where we may be leaking a trip or 2 with that customer and be able to drive more targeted promotions to that customer to drive that incremental behavior that we want to see. So I think we're in much better shape now that we've got these new customers here. And yes, we do have evidence that customers are trading down to a Murphy platform. We now have a greater ability to keep them and make them more sticky to us than what we have ever had in the past. So hopefully, that answered all that you wanted me to.

Operator

[Operator Instructions] Our next question is from Corey Tarlowe with Jefferies.

Corey Tarlowe
Jefferies LLC, Research Division

Great. Mindy, I have one question and then just a quick follow-up to the question that was just asked, if that's okay. First, I think you said August, I just wanted to clarify, was in the high 30s. But RBOB, I think, started to gap down pretty materially with the start of August. So I'm wondering what changed versus the second quarter?

And then also, as my broader question, during periods of prior volatility, fuel supply does tend to be a pretty meaningful earnings benefit. And it would just be helpful to kind of get your perspective on what you saw in the quarter? And then any commentary on how we might be able to think about that versus what you've seen quarter-to-date?

Malynda K. West
President, CEO & Director

Thanks, Corey. Yes, your question about August, yes, you're correct, opening today with margins in the high 30s, which is actually higher than what it was when we began the month because remember, margins are a function not just of the direction of prices, but reflective of what is the competition doing and how is the market restoring and how quickly is that happening, which can vary from week-to-week or month-to-month. And also dependent on when that price increase or decrease happens, because if it happens close to a weekend, people are already positioned where they're going to be, so you really don't see any incremental new behavior until you begin the next week. So that just gives you an example of what August is doing. But I do think it's important that as we're seeing this falloff in price, we are getting that separation and our volumes are picking up just exactly as we would expect given those conditions.

And asking about fuel supply, yes, we do know that we're advantaged in this environment. Again, this is a crisis that actually has impacted supply of movements and availability. So what we're seeing is this is exactly the type of environment that underlines why we value the assets and capabilities that we have because our ability to acquire at the ship channel direct from refinery, ship it up the pipe, hold it either in our terminals or in the 100 terminals where we have access from third parties is something that gets magnified during periods like this versus a time period when you think about last year when product was ample. It was everywhere, you could buy at the rack and not be really that much disadvantaged versus us having these assets.

So I think what you saw in the second quarter identifies that because what we call the controllables piece of the business, which is our ability to acquire product through all these various mechanisms, what it would be versus buying at the rack was advantaged during this quarter versus what you saw same time last year where product was long and loose, we were returning from the controllables part of our business only about \$0.025 versus the over \$0.07 that we posted this quarter.

And then uncontrollables, as we went into great detail to explain during the last quarter, that's going to be a function of is the market rising or falling. But it's that controllables piece that really tells you a lot about what's going on in the fuel supply market and whether product is plentiful or scarce. And when product is scarce, again, that really underlines why we value the assets and the capabilities that we have.

Operator

Your next question from the line of Irene Nattel with RBC Capital Markets.

Irene Ora Nattel
RBC Capital Markets, Research Division

So listening to everything that you're saying and taking into consideration that we're likely going to be in a tight supply environment into some point next year, recognizing we don't know when. And I'm recognizing it's early. But the \$0.35 all-in margin that you're conservatively guiding to in the back half of the year, I think, is higher than what many of us would have expected. Should we be thinking about a similar kind of level next year as potential as a floor? Like how should we be thinking about it?

Malynda K. West
President, CEO & Director

Yes. Great question. Irene, thank you for your patience, getting back in the queue when you could have asked a multiple part question from the beginning. So thank you for getting back in line.

I think what we're seeing is we're getting good margins absent a sustained price falloff. And what we're seeing is margins are stabilizing at higher levels when they find where the bottom is, more so than what we've seen previously. So I think us saying that \$0.35 is doable for the back half of the year, it's because we're seeing that we have a very stable margin structure. Restoration activity has been very rational. So while we may see margins fall more quickly from the peaks, they are stabilizing at much higher levels, so that's raising the floor.

So when we think about peak to peak, we've seen higher margins before. We saw them in 2022. We're seeing them higher than what they were in 2022. And then when we think about last year, I know a lot of people think that over time, results are going to conform to the mean, return to normal. I would remind everyone that 2025 was not normal. It was an abnormal year, just the opposite that this one is, but there was nothing normal about it. It just was abnormal in the opposite direction. But I think that the fuel margin story continues to be those marginal retailers whose costs are increasing, who are passing that on through the form of higher margin. That's why we're seeing the floor continue to rise every year, giving us at least some confidence that through the back half of this year, that \$0.35 is achievable. And if you ask me, could we outperform that and where would we do it, it would probably be on the fuel margin side and maybe even the volume side if we saw a pronounced price fall off during that time.

Irene Ora Nattel
RBC Capital Markets, Research Division

That's very helpful. And do you think, Mindy, that it's sustainable as we look ahead to 2026, 2027? Like do you think that we really -- this is another sustainable leveling up?

Malynda K. West
President, CEO & Director

That's a great question. I think we're just continuing to see that virtuous cycle that we've talked to about breakeven if equilibrium continuing to move higher. I think, yes, we will continue to see that happen. We don't see any evidence why that would not happen. Obviously, we're not ready to come out with next year's guidance. We're going to have a lot of factors that we need to work in. But I think the support we're seeing in retail margins is incrementally positive to our long-term view of the business, all else being equal. I can't predict the macro. But I can also speak to the health of our business. We're executing well, and we're seeing the margin even without that price fall off. So I think that is significant.

Operator

Your next question from the line of Daniel Guglielmo from Capital One Securities.

Daniel Edward Guglielmo

Capital One Securities, Inc., Research Division

On the organic growth, have there been any noticeable changes in construction costs that you've seen at NTIs or raze-and-rebuilds this year?

Malynda K. West

President, CEO & Director

I mean not -- on the order of magnitude, not huge. I mean, inflation continues to tick up, but that's been the case over the last several years, but that has been more than compensated for by what we just talked about, what's going on with the retail fuel margin. So the returns that we're generating versus what you would have seen us have 5 years ago, while the stores are costing more, they're actually higher returning just due to this fuel margin impact that we're talking about. So yes, they're trending higher, but certainly not at an alarming pace and certainly well within the boundaries of what we're seeing on the overall return profile with the fuel margin.

Operator

Your next question from the line of Brad Thomas with KeyBanc Capital Markets.

Bradley Bingham Thomas

KeyBanc Capital Markets Inc., Research Division

Mindy, I'll try and make this an easy one here after my multiparter earlier. Just hoping for an update on QuickChek, its performance and how you're thinking about their EBITDA in the second half.

Malynda K. West

President, CEO & Director

Yes. Great question, Brad. Thank you. What I would say is Q2 performance is stabilizing. We're seeing food and beverage sales and margin turning positive. And we're doing some deliberate things to cause that. We're growing the sandwich category. That's critical to improving performance. We're also seeing higher margins as we are intentionally focusing on the economics of those offers. We're seeing growth in bakery, employing some new recipe engineering for our buttered roll. We had a line extension. We now offer croissants. Hot and iced coffee results are improving. We've relaunched Free Coffee Fridays. So we're seeing sales and units up while the broader market struggles.

And then we're continuing to evolve. I mentioned this in the first quarter, evolve QC into a sales-first culture similar to Murphy. And we're seeing stronger promotional response as a result of that. During the second quarter, QC had a fantastic candy contest. They executed a BOGO, and it was truly Murphy-like performance. So super proud of them for that. And our leadership structure continues to make positive changes from both a culture and store performance perspective. So we're focused on improving the basics of the business, labor shrink, improving margins, simplifying the operating model, deliberate things that we're doing. Is it back to where we want it to be? No. But I think we're turning and headed in the right direction, focused on the right things with the right leadership in place. So I'm happy with what we're seeing so far.

Operator

Your next question from the line of Corey Tarlowe with Jefferies.

Corey Tarlowe

Jefferies LLC, Research Division

Mindy, I had one more, and it was just as related to merchandise performance, specifically if you talk about Murphy's stores. I recall the performance, I believe, last quarter was a bit better than what you had seen versus the overall fleet in QuickChek. I was curious if you could highlight any trends there for us.

Malynda K. West

President, CEO & Director

Are you talking nicotine, nonnicotine?

Corey Tarlowe

Jefferies LLC, Research Division

It would be -- nonnicotine would be ideal.

Malynda K. West
President, CEO & Director

Yes. Nonnicotine, that -- it's reflecting strength in our core center of the store categories, but being offset by pressures in things like lottery and beer, which are not unique to Murphy USA, by the way. So we managed to hold or gain share across all our major merchandise categories. And I think that is enormously important. We were able to also grow overall merchandise contribution dollars, deliver positive margin growth, all that within a customer environment that is under pressure and that customer is remaining selective.

When you peel under the apple a little bit, we saw strength in packaged beverage anchored primarily in energy. Candy faced a tough comp, and we are creatively finding ways to boost that category, finding success in chocolate and also nonchocolate promotions, had a [indiscernible] promotion in the second quarter that was hugely successful following a really successful [indiscernible] promotion last year.

Lotto lottery remains a challenge as consumers' wallets are pinched, they're not spending as much on that typical product. They also have other ways in which they can gamble online.

Beer remains a challenge and major suppliers are saying that, too. Consumer preferences are just moving away from alcohol. That's an industry trend, not just for us. But overall, I think our results, both at MUSA Center store and QuickChek Center store are strong. And remember, nicotine is merchandised too, and we are continuing to take share and drive that category. And so I think our momentum in the second quarter demonstrated improved cigarette performance, exceptional pouch momentum and reinforces our ability to continue to grow share and hold share across the entire store, not just nicotine. So I think it demonstrates the strength of our offer and the consistency of demand from that customer for whom price matters, and we do identify with them as being low cost.

Operator

Your next question from the line of Ed Kelly with Wells Fargo.

John Christopher Parke
Wells Fargo Securities, LLC

It's John Parke on again. I guess can you talk about the unchanged down guide? I mean you clearly did better in the first half. I guess anything that suggests you wouldn't be towards like the higher end of that range here in -- for the year?

Malynda K. West
President, CEO & Director

I'm sorry, you cut out, which guidance piece were you talking about when you say changed down.

John Christopher Parke
Wells Fargo Securities, LLC

The gallon guide of down 1% to down 3%, same-store gallon guide?

Malynda K. West
President, CEO & Director

The retail margin. Yes. And we kind of already addressed, cents per gallon or margin? Cents per gallon, I'm sorry, or volume.

John Christopher Parke
Wells Fargo Securities, LLC

Sorry, it was just the volume.

Malynda K. West
President, CEO & Director

Okay. Volume because, again, we don't know what's going to happen in the second half of the year. If we continue to have upward swings in price, again, that's not conducive to us creating separation versus our competitors. What we are not baking in at all is any

prolonged decrease in prices where we would have the ability to attract both volume and margin. So again, you can call the results conservative, but -- and that's fair because if prices do fall for an extended period, we would expect our volume performance to outperform these assumptions. We would also likely think our margin performance would outperform these assumptions. But we would rather guide to the conservative side and hit it or beat it versus disappoint.

So happy with first half performance, and we will see total volumes grow as we add new stores to the network in the fourth quarter. But again, just don't want to get ahead of ourselves and bank on super high volumes or even extended volumes from what we're seeing. Let's just have something that we feel credible about and know that we can deliver. And hopefully, we're in a great position 2 calls from now to tell you about how we dramatically beat what we said that we would do here in August -- here on August 6.

Operator

We have reached the end of the Q&A session. I will now turn the call back to Mindy West for closing remarks.

Malynda K. West
President, CEO & Director

Thank you, guys, for your time on the call. We do believe that our second quarter performance demonstrates the resilience of our model. Fuels highlighted the strength of our competitive advantages, while merchandise contribution dollars grew despite category pressures. So those results reinforce our confidence in the business, our ability to continue creating value for our customers and our shareholders for the long term. And our go-forward guidance may seem conservative, but that is intentional. So thank you for your interest in Murphy USA, and thanks for joining our call. Look forward to talking to you next time.

Operator

This concludes today's call. Thank you for attending. You may now disconnect.

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